4.5 Procedure for posting

The process of transferring the debit and credit items from the journal to the ledger accounts is called posting. The procedure of posting from journal to ledger is as follows:

(a) Locate the ledger account that is debited in the journal entry. Open the respective account in the ledger, if already not opened. Write the name of the account in the top middle. If already opened, locate the account from the ledger index. Now entries are to be made on the debit side of the account.

(b) Record the date of the transaction in the date column on the debit side of that account.

(c) Record the name of the account credited in the journal with the prefix 'To' in particulars column.

(d) Record the amount of the debit in the 'amount column'.

(e) Locate the ledger account that is credited in the journal entry. Open the respective account in the ledger, if already not opened. Write the name of the account in the top middle. If already opened, locate the account from the ledger index. Now entries are to be made on the credit side of the account. Record the date of the transaction in the date column. Record the name of the account debited in the journal entry in the particulars column with the prefix 'By' and write the amount in the amount column.

Tutorial note

The name of the account in the top never appears in the particulars column. In the particulars column the account entered is the other account in the journal entry.



Student activity

Think: What will happen if an account debited or credited is left out while posting from journal to ledger?

Illustration 1

Pass journal entries for the following transactions and post them in the ledger accounts.

2017

June 1 Basu started business with cash ₹ 50,000

4 Purchased furniture by paying cash for ₹ 6,000

7 Purchased machinery on credit from Harish ₹ 10,000

10 Bought goods for cash ₹ 4,000

18 Paid insurance premium ₹ 100

Solution

In the books of Basu

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Cash A/c	Dr.		50,000	
June 1	To Basu's capital A/c				50,000
	(Started business with cash)				

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